

ORIGINAL

FEDERAL MARITIME COMMISSION

JAMES J. FLANAGAN SHIPPING
CORPORATION D/B/A JAMES J.
FLANAGAN STEVEDORES, INC.

Complainant,

v.

LAKE CHARLES HARBOR AND
TERMINAL DISTRICT AND LAKE
CHARLES STEVEDORES, INC.

Respondent.

Docket No. 94-32

Served: August 26, 2003

Order denying exceptions and discontinuing proceeding.

BY THE COMMISSION: Steven R. BLUST, *Chairman*;
Joseph BRENNAN, Harold J. CREEL, Jr., Rebecca F. DYE,
and Delmond J.H. WON, *Commissioners*.

COUNSEL: *Joseph A. Klausner*, PATTON BOGGS, LLP, for
Complainant James J. Flanagan Shipping Corporation. *Edward*
J. Sheppard, *Timothy F. Noelker*, *Bryan Hopkins*, THOMPSON

COBURN, LLP, for Respondent Lake Charles Harbor and Terminal District. *Robert J. Blackwell, Anne E. Mickey, John W. Butler*, SHER & BLACKWELL, and *Hunter W. Lundy, Samuel B. Gabb*, LUNDY & DAVIS, LLP, for Respondent Lake Charles Stevedores.

ORDER

This proceeding began with the filing of a complaint before the Commission by the James J. Flanagan Shipping Corporation, d/b/a James J. Flanagan Stevedores (“Flanagan”) against the Lake Charles Harbor and Terminal District, d/b/a Port of Lake Charles (“Port”) and Lake Charles Stevedores, Inc. (“LCS”). In its complaint, Flanagan alleged that the Port and LCS had violated several provisions of the Shipping Act of 1984, 46 U.S.C. app. § 1701 et seq., by imposing inapplicable and excessive rail switching charges, and excessive pallet use charges, on Flanagan’s stevedoring service. The Port filed a counter-complaint, in which it averred that Flanagan, as a marine terminal operator, had charged noncompensatory rates at other ports under unfiled agreements to lure shippers away from the Port of Lake Charles. LCS also filed a counter-complaint, alleging that Flanagan had charged noncompensatory rates for stevedoring services at the Port to lure business away from LCS, and further that Flanagan sought to eliminate LCS as a stevedoring competitor so that it could either charge higher rates at the Port, or alternatively divert business to other ports by ceasing stevedoring services at Lake Charles once LCS was no longer in business.

The administrative law judge (“ALJ”) to whom the proceeding was assigned issued an Initial Decision on November 18, 1996, 27 S.R.R. 925, in which he dismissed

Flanagan's complaint and both counter-complaints. Flanagan, the Port, and LCS then filed exceptions to the Initial Decision. The Commission, determining to review the proceeding de novo, vacated the Initial Decision on July 30, 1997, and ruled that the Port and LCS had violated section 10(d)(1) of the Shipping Act, 46 U.S.C. app. § 1709(d)(1), by imposing the rail switching charge on Flanagan. 27 S.R.R. 1123. The Commission concluded that the switching charge was invalid under section 10(d)(1) as interpreted by applicable Supreme Court precedent. Id. at 1131 (relying on Volkswagenwerk v. Federal Maritime Comm'n, 390 U.S. 261 (1968)). The Commission also held that Flanagan had not proved that the increase in the pallet use charge constituted a violation of the Act. The Commission dismissed the Port's counter-complaint, and remanded the proceeding to a different ALJ for a determination on the reparations due Flanagan as well as an adjudication of LCS's counter-complaint. Id. at 1135.'

¹ Before the remanded proceedings commenced, Flanagan appealed the Commission's order to the United States Court of Appeals for the District of Columbia Circuit, contending that the Commission should have found the pallet use charge unlawful. The ALJ to whom the case had been reassigned determined to hold it in abeyance pending the outcome of the appeal. In the court of appeals, the Commission argued that Flanagan's appeal should be dismissed as premature because the order it sought to challenge did not dispose of the case in its entirety, as there were remaining issues for the agency to consider. Finality is ordinarily a prerequisite to appellate review of the Commission's orders, pursuant to the Hobbs Act, 28 U.S.C. § 2341 ~~See, e.g.,~~ Commonwealth of Mass. v. United States Nuclear Regulatory Comm'n, 924 F.2d 311, 322 (D.C. Cir. 1991) (an agency order is "final" only if it disposes of all issues as to all parties). On January 12, 1998, the court granted the Commission's

(continued..)

The money for the switching charge had been placed into an escrow account shortly after the charge was implemented, and LCS refunded \$56,883.21 to Flanagan on September 29, 1997, after the Commission had declared the charge invalid. Accordingly, the remaining issues in this case center on whether additional reparations are due to Flanagan for the violations of section 1 O(d)(1) of the Shipping Act found, beyond the refund it has already received.* Flanagan sought to prove that it had endured, as an “actual injury” under section 1 l(g) of the Act,³ lost profits as a result of the switching charge, and that six payments for the charge had not been placed into the escrow account and consequently had not been refunded.

On May 7, 1998, the Port filed a motion to dismiss Flanagan’s reparations claims. The ALJ denied the motion on June 16, 1998, 28 S.R.R. 485, finding that it “tacitly quarrel[ed] with the Commission’s order on remand and implie[d] that the

(...continued)

motion to dismiss Flanagan’s appeal. James J. Flanagan Shipping Corn. v. Federal Maritime Comm’n, 1998 WL 65567 (D.C. Cir. 1998).

² On January 10, 2000, pursuant to a notice filed by LCS indicating its desire to withdraw its counter-complaint, the **ALJ** ordered the counter-complaint dismissed without prejudice. 28 S.R.R. 1263.

³ Section 1 l(g) provides in relevant part:

[T]he Commission shall, upon petition of the complainant and after notice and hearing, direct payment of reparations to the complainant for actual injury. . . caused by a violation of this Act.

46 U.S.C. app. §1710(g).

order ha[d] been entered in error.” Id. at 489. The ALJ concluded that Flanagan must be permitted an opportunity to make its case.

On August 18, 2000, after receiving legal arguments and factual submissions from the parties, the ALJ issued an order denying Flanagan’s reparations claims and dismissing the proceeding.⁴ The ALJ explained that Flanagan had the burden of proving that its “lost profits were caused solely by the unlawful railroad switching charge and are not attributable to other lawful causes.” ALJ Order at 28. He concluded that Flanagan had failed to prove that its lost profits were caused by the invalid switching charge. The ALJ did not specifically address whether Flanagan should receive reparations for the six alleged 1994 payments.

Flanagan filed exceptions to the ALJ’s decision, and LCS and the Port filed replies. The exceptions are presently before the Commission. We have concluded that the ALJ was correct in his determination that Flanagan has not carried its burden of proof to demonstrate that its alleged lost profits were caused by the invalid switching charge. We have further concluded that Flanagan has failed to prove that it made any unreimbursed payments for the switching charge in 1994. Accordingly, we uphold the ALJ’s order. Flanagan’s exceptions are denied.

⁴ The ALJ’s Order appears at 28 S.R.R. 1563.

POSITIONS OF THE PARTIES

A. Flanagan

1. Six payments in 1994 for the unlawful switching fee

Flanagan notes that the switching charge the Commission found unlawful in this case was enacted in November, 1994. It explains that it and LCS established an escrow account for payments made under the charge in December, 1994, and that deposits were placed into the account starting in January, 1995. Flanagan avers that it made payments for six sailings in November and December, 1994, but that those payments were not placed into the escrow account and were not refunded to Flanagan after the Commission found the switching charge unlawful. Flanagan complains that the ALJ failed to address this topic, and argues that the Commission should find that it is owed \$7,648.42, plus interest, for the six alleged payments.

2. Lost profits

Flanagan argues that the switching charge caused it to lose business in 1995, and that the loss of business is attributable entirely to the illegal charge. Challenging the ALJ's conclusion that other factors, such as the increase in the pallet use fee, had led to Flanagan's lost business, Flanagan argues that only if the pallet charge was so large that it alone made Flanagan noncompetitive at the Port, would its case fail. Flanagan avers that it was able to absorb the pallet charge, and that the switching fee was therefore the sole cause of its losses.

Flanagan admits that a direct comparison of its dealings against those of LCS is not possible, because “evidence of competitive bids for the same loadings is lacking,” but asserts that “other significant evidentiary pointers” nevertheless support its claims. Exceptions at 5. First, Flanagan argues that several affidavits it submitted support its case for lost profits. These affidavits, from “experienced shipping executives and agents,” purport to show that the illegal switching charge “rendered Flanagan noncompetitive for cargo subject to” the charge. Exceptions at 6, 7. Flanagan contends that the ALJ failed to give proper weight to its affidavits.

Next, Flanagan argues that the differing patterns of truck cargo and rail cargo illustrate the competitive impact of the switching fee. The pallet use charge applied to both rail and truck cargo, while the switching fee applied only to rail cargo. Flanagan asserts that when truck movements increased, its share of the business increased. Flanagan contends that comparing the two reveals that it was the switching fee alone that caused Flanagan to lose business.

Flanagan asserts that the ALJ addressed this factor for 1995, but failed to examine evidence from the following year, in which Flanagan’s share of truck cargo increased. Flanagan argues that there is “no conceptual error” in the ALJ’s focus on the 1995 data, “since damages are claimed for that year,” but that Flanagan had explained the basis of its focus on 1996, which the ALJ disregarded. Exceptions at 8. Flanagan argues that in 1995, it had determined to concentrate on retaining its customers from 1994, who moved their cargo by rail, which movements were thus subject to the switching fee. Flanagan then explains that it elected to focus on truck cargo in 1996, and that as a consequence of truck cargo being subject to the pallet

fee but not the switching fee, its share of the overall business increased dramatically:

There could be no more striking demonstration that it was not the pallet charge that crippled his business in 1995, but the switching charge. For in the sphere in which the former alone applied, he achieved a majority position promptly upon concentrating there; and in the sphere where both applied, he remained a minor player with a small fraction of the market. It is respectfully submitted that the logical implications are inexpugnable.

Exceptions at 11.

Flanagan concludes that its affidavits, along with its comparison between 1995 and 1996, are sufficient to prove a “nexus between the incidence of the switching charge and the complainant’s loss of business in 1995.” Exceptions at 13. Flanagan suggests that the case be remanded to the ALJ for further proceedings to measure the extent of its lost profits.

B. LCS

1. The six 1994 payments

LCS asserts that Flanagan has failed to present adequate evidence to prove that the six alleged payments were made. LCS notes that Flanagan’s evidence for the charges consists only of invoices issued by Flanagan to its customers. “As such, the documents in this exhibit demonstrate that Flanagan may have collected a \$0.50 per short ton switching charge from certain of its customers, but they indicate nothing as to whether LCS or the Port levied such a charge against Flanagan.” LCS

Reply at 2. LCS then explains that Flanagan has provided evidence of payments made in 1995 for the switching charge in the form of invoices from LCS to Flanagan, and that these exhibits do not include any 1994 charges. LCS notes that Flanagan produced no cancelled checks or other records to prove that it paid the charge to LCS. LCS also suggests that Flanagan has abandoned the 1994 claims because, when it submitted its affirmative case in writing to the ALJ, it made no mention of the alleged 1994 charges.

2. Lost profits

LCS asserts that Flanagan has proposed a standard of proof regarding its lost profits claim that would require the respondents in this case to prove that the invalid switching charge did not cause a loss of business, rather than requiring Flanagan to show that it did:

The standard that Flanagan would set for itself would require complainants to show merely that factors other than the action found to violate the Act did not cause the alleged damages. This places the focus in entirely the wrong place. What complainants are required to demonstrate is that the unlawful act affirmatively caused the claimed damages, not that some other lawful activity did not cause the alleged damage.

LCS Reply at 8. LCS also asserts that Flanagan inordinately focuses on separating the mixed effects of the switching and pallet use charges, without first showing that the unlawful switching charge was the proximate cause of any injury.

LCS argues that Flanagan's affidavits "appear[]" to be offered only for the proposition that a fifty cent or less difference in the base commodity rate can have the effect of determining which stevedore is awarded a contract." LCS Reply at 17. However, it also contends that, to make its case, "Flanagan would have to show that it lost vessels to LCS by fifty cents or less where the switching charge applied," *ibid*, and that it has not done so because of the absence of recorded bidding evidence. LCS discounts Flanagan's statistical argument regarding the differences between truck cargo and rail cargo as irrelevant because the argument presumes that Flanagan has shown causation, which LCS argues it has not.

C. The Port

1. The six 1994 navments

The Port contends that Flanagan failed to provide any evidence that it made the six alleged switching fee payments in 1994. The Port argues that while Flanagan "has established that it produced invoices containing the rail switching fee during 1994," it has failed to prove "that it sent these invoices to its customers or that it made any payments to LCS for 1994 rail switching charges." Port Reply at 7. Without such evidence, the Port contends that Flanagan may not receive reparations.

2. Lost profits

The Port avers that Flanagan has failed to establish a proximate cause nexus between the rail switching fee and its lost profits. The Port suggests that Flanagan has attempted to shift the burden of proof from itself to the respondents.

The Port argues that Flanagan “fails to allege, much less prove a single instance in which it ever lost a bid . . . by \$0.50 per short ton,” which was the amount of the illegal switching fee. Port Reply at 17. The Port contends that this lack of evidence means that “the alleged damage is not the certain result of the wrong,” *ibid*, such that Flanagan has failed to prove its case. The Port also contends that Flanagan has failed to account for the increase in the pallet fee from \$.75 to \$1.50, a charge the Commission found not unlawful in this case. The Port argues that the exclusion of this factor from Flanagan’s analysis renders its methodology “inappropriate.” Port Reply at 20. The Port concludes that Flanagan has failed to demonstrate any proximate cause between the unlawful switching charge and its lost business, and therefore has failed to establish that it suffered actual injury for which reparations would be due.

3. Oral argument

The Port has requested oral argument.

DISCUSSION

The two issues now before the Commission are whether Flanagan has proved that it paid the switching fee on six occasions prior to the establishment of the escrow account, in which case it would be due a refund for those payments, and whether Flanagan should receive reparations for lost profits suffered in 1995 as an alleged consequence of the imposition of the rail switching fee. We have concluded that Flanagan has not provided adequate proof for either of its reparations claims.

A. 1994 switching fees

The switching charge became effective on November 16, 1994, and Flanagan filed its complaint challenging the charge on December 1, 1994. On December 16, 1994, an escrow account was established to retain the rail switching charges collected from Flanagan. This account became effective in January, 1995 and remained operative until after the Commission's July 30, 1997 Order finding the switching charge violative of the Shipping Act. On September 29, 1997, LCS refunded \$56,883.21 to Flanagan, which amount constituted the rail switching charges collected, plus interest.

Flanagan argues that it made six payments of the switching charge prior to the effective date of the escrow account, on November 25, December 16 (two sailings), December 22, December 23 and December 28, 1994, in an amount totaling \$7,648.42. It maintains that it must be repaid this amount because the charge was found by the Commission to be unlawful. See Exceptions at 2-3. LCS and the Port assert that Flanagan has provided insufficient evidence of the payments, and that Flanagan only sought reimbursement for payments made in 1995 and has effectively waived its claim to any 1994 payments. LCS Reply at 2-5; Port Reply at 5-7.

The ALJ did not address Flanagan's contention that it had paid the switching fee in six instances in 1994, although he recognized its existence as a claim. See ALJ Order at 8. In its reply to Flanagan's exceptions, the Port attempts to account for this omission by arguing that the ALJ's blanket language at the close of his opinion, rejecting all contentions not specifically addressed, is sufficient to constitute rejection of the claim. Port Reply at 5-6. It appears that the ALJ simply overlooked this

matter in his discussion. Accordingly, it is necessary for the Commission to address the issue in the first instance.

The Commission must make factual findings based upon a preponderance of the evidence. Because the Commission has already determined that the switching fee violated the Shipping Act, the question is whether Flanagan has provided adequate evidence that it paid \$7,648.42 in switching fees prior to the effective date of the escrow account. Towards this end, Flanagan cites to invoices it sent to its customers reflecting the charge. See Exceptions at 2. However, Flanagan has not provided invoices from LCS indicating payment received from Flanagan for the charge, nor has it provided evidence of cancelled checks payable to LCS for the six 1994 sailings. The entire basis for its claim, therefore, is the invoices it sent to its customers.

The Commission has concluded that Flanagan's proof is not sufficient. As LCS and the Port maintain, Flanagan has proved only that it charged its customers for the switching fee. It has not shown that it paid the fee to LCS, and that fact cannot be assumed. See, e.g., California Shipping Line, Inc. v. Yangming Marine Transp. Co., 25 S.R.R. 1213, 1230 (1990) ("Actual damages may not be presumed, however, but must be proved by the party seeking them."). Indeed, given the uncertain status of the charge at the time the six payments were allegedly made - Flanagan was by then actively challenging its validity - it does not seem unreasonable to suppose that Flanagan might not have paid the fee to LCS. Past Commission cases have shown that an entity's charging its customers for a fee is not on its own sufficient to prove that the fee was paid by the entity. See, e.g., Mar-Mol and CopyCorp. v. Sea-Land Serv., Inc., 27 S.R.R. 1085 (1997) (common carrier passed on to its customers

charges for a Puerto Rican tax to which the common carrier knew it was not subject). In addition, there is a notable discrepancy in that Flanagan could not supply any invoices from LCS for the six alleged 1994 payments, although it was able to provide such invoices for other time periods. This discrepancy suggests that adequate evidence should have existed for the 1994 payments. Flanagan has simply failed to produce any such evidence.

Flanagan has already been reimbursed the money it paid for the switching fee, including interest, pursuant to the escrow account. It has therefore recovered all documented payments of the unlawful fee. Given the absence of adequate evidence to support its claims respecting the six 1994 sailings, we deny Flanagan's request for additional reparations.

B. Renarations for lost profits

Flanagan seeks reparations for lost profits it claims to have suffered in 1995 due to the imposition of the unlawful switching charge. The record appears to show that Flanagan's profits fell from \$936,174 in 1994 to \$714,890 in 1995, and then rebounded in 1996. Flanagan seeks lost profits for 1995 in the amount of \$221,284, plus interest and attorneys fees.

The question before the Commission is whether Flanagan has established that it suffered an "actual injury. . . caused by a violation of' the Shipping Act, pursuant to section 11 (g) of the Act, 46 U.S.C. app. § 1710(g). The ALJ focused on whether Flanagan had "prove[d] in a reasonable manner the link between the injury suffered and the illegal practice of the respondent exclusive of any practice found lawful." ALJ Order at 27. Assessing the record evidence before him, the ALJ concluded

that Flanagan had failed to prove that its lost profits were “caused solely by the unlawful railroad switching charge and are not attributable to other lawful causes.” *Id.* at 28. The ALJ determined that Flanagan’s case had failed because: (1) Flanagan did not address the effects of the permissible increase in the pallet use charge on its loss of business; (2) it failed to produce written records of unsuccessful bids that could be linked to the illegal switching charge; and (3) its arguments that certain customers switched their business to LCS after the fee was imposed failed to demonstrate any link between the fee and the customers’ decision to shift their business. *Id.* at 28 - 29. Flanagan’s arguments in its exceptions have not convincingly demonstrated error in the ALJ’s conclusions.

1. The burden of proof

Flanagan contends that the only circumstance under which its case for lost profits could fail is if the pallet charge were so large that it alone made Flanagan noncompetitive at the Port. Flanagan then argues that it was able to absorb the pallet charge, and that the switching fee accordingly must have been the cause of its lost profits. LCS and the Port argue that Flanagan’s approach would inappropriately shift the burden of proof, because Flanagan believes that it “had only to differentiate the effects of the pallet charge in order to prove its case.” LCS Reply at 7.

Under the Commission’s regulations, “the burden of proof shall be on the proponent of the rule or order.” 46 C.F.R. § 502.155. See also Boston Shipping Ass’n v. Federal Maritime Comm’n, 706 F.2d 1231, 1239 (1st Cir. 1983) (burden of proof in complaint cases). In its Exceptions, Flanagan begins its analysis with an emphasis not on proving its case for lost profit

reparations, but rather on disproving the arguments against such reparations. Thus, Flanagan suggests that if it could show that the permissible increase in the pallet use fee did not on its own “defeat” the claim for lost profits, then “[t]he issue of causation would therefore be settled.” Exceptions at 5. As LCS explains, “the standard that Flanagan would set for itself would require [it] to show merely that factors other than the action found to violate the Act did not cause the alleged damages.” LCS Reply at 8. This of course is not the same as proving that the Shipping Act violation did cause the alleged lost profits. As the Federal Maritime Board explained long ago:

(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.

Waterman v. Stockholms Rederiaktiebolag Svea, 3 F.M.B. 248, 249 (1950). See also Story Parchment Co. v. Paterson Parchment Paper Co., 282 U.S. 555,562 (193 1) (“the rule which precludes the recovery of uncertain damages applies to such as are not the certain result of the wrong”). The proper inquiry, then, is not whether LCS and the Port have shown that the pallet use charge or other lawful factors in fact caused Flanagan to lose business in 1995, but instead whether Flanagan has proved that the unlawful switching charge caused such losses. See Prudential Lines, Inc. v. Farrell Lines, Inc., 26 F.M.C. 597,603 (1984) (rejecting a claim for reparations in the absence of a

causal link between the Shipping Act violation and the alleged injury).⁵

2. Evidence of lost profits

Flanagan did not provide evidence of stevedoring contracts that it lost by the switching fee amount of \$.50 per short ton or less.⁶ In its exceptions, Flanagan admits that “evidence of competitive bids for the same loadings is lacking,” but nevertheless asserts that “other significant evidentiary pointers” support its claims. Exceptions at 5. We will address these other sources of evidence in turn.

a. Affidavits

Flanagan first avers that the affidavits it submitted into the record support a case of lost profits, and that the ALJ failed

⁵ Flanagan similarly placed more emphasis on disproving the arguments against its claims than on proving its case in its opening brief before the **ALJ**. **It** admitted that the “best evidence of the impact of the switching charge would be a comparison between successful and unsuccessful bids,” but acknowledged that this evidence did not exist. Flanagan Opening Brief at 5. It then argued that the “time sequence” and the “breadth of the shift” in business, as well as several affidavits, were adequate to prove its case. *Id.* at 6-9. It devoted six full pages to rebutting “arguments advanced to deny” its claims. *Id.* at 10-16.

⁶ As LCS explained in its brief before the **ALJ**, notwithstanding the ordinary practice of making bids orally, Flanagan could have retained records for lost stevedoring bids it attributed to the switching charge, as by 1995 it had already challenged the validity of the charge before the Commission. *See* LCS Brief at 4-6.

to accord proper evidentiary weight to these affidavits. Flanagan's affidavits reflect the opinions of the affiants that the switching and pallet use fees together could make Flanagan noncompetitive. They do not, however, supply any evidence that the switching fee in particular did so.

The ALJ summarized the contents of eight Flanagan affidavits. See ALJ Order at 9-12. We have considered all of the affidavits, and we agree with the ALJ's conclusion that they do not supply adequate evidence to prove Flanagan's reparations claim. In its Exceptions, Flanagan challenged the ALJ's assessment of three of those eight. We have accordingly limited our discussion here to the three affidavits raised in the Exceptions. Flanagan first emphasizes the affidavit of Mary Reid, the director of a freight forwarding company "which represents approximately 75 percent of the rice cargoes moving through the Port." ALJ Order at 11. Flanagan cites Ms. Reid's "professional opinion" that Flanagan's stevedoring business at the Port had diminished after the initiation of the switching and pallet use fees. See Exceptions at 6. However, the affidavit does not provide any specific instances of business that Flanagan lost due to the switching fee.

Flanagan's reliance on the affidavit of Mr. Graham Bott, president of Africa Bulk Services, see ALJ Order at 9, is similarly unpersuasive. The Bott affidavit suggests that Flanagan lost business at the Port due to the imposition of "fees." It does not, however, indicate that Flanagan lost business by a bid differential of \$.50 or less, the amount of the switching fee, nor does it differentiate the switching fee increase from the permissible pallet use increase.

The affidavit of Mr. Bryan Trahan is also inadequate to support Flanagan's claims. It is contended that Mr Trahan is experienced in the negotiation of stevedoring contracts. Nonetheless, his affidavit consists merely of conclusory statements that do not demonstrate with any particularity that Flanagan lost business at the Port due to the unlawful switching charge.'

b. Statistical argument

Next, Flanagan argues that an analysis of stevedoring market share at the Port from 1994 to 1996 illustrates that "it was not the pallet charge that crippled [Flanagan's] business in 1995, but the switching charge." Exceptions at 11. Flanagan contends that the ALJ had indicated that it was Flanagan's failure to distinguish the economic effects of the pallet use charge from those of the switching fee that led him to deny Flanagan's claim. Exceptions at 5. Flanagan therefore attempts to illustrate that the pallet use charge can be so distinguished, to highlight that the losses were caused by the switching fee.'

Flanagan argues that it enjoyed 30% of the stevedoring business at Lake Charles in 1994, but that this market share

⁷ LCS challenges the admissibility of the Trahan affidavit, claiming that it may not have been submitted under oath. See LCS Reply at 16. Given the lack of persuasiveness of the affidavit, we find it unnecessary to rule on the quality of its authentication.

⁸ In fact, the ALJ explained that Flanagan had failed to prove that its purported lost profits were attributable to the switching fee rather than to "other lawful causes," including but not limited to the pallet use charge. See ALJ Order at 28, 30-31.

dropped to 16% in 1995, after the switching and pallet use charges were implemented. Flanagan contends that its market share increased to 43% in 1996, due to an increase in truck cargo at Lake Charles and a corresponding decrease in rail cargo. Truck cargo was subject to the pallet use charge, but not the rail switching charge. Flanagan notes that its share of the rail cargo remained small in 1996, even as its share of truck cargo increased. The crux of the argument is that Flanagan's success with securing stevedoring contracts in 1996 for truck cargo, contrasted against its relative lack of success with securing such contracts in 1995 for rail cargo, demonstrates that the rail-only switching fee was responsible for Flanagan's 1995 profit decline.

We have concluded that Flanagan's statistical argument is insufficient to support its claim of reparations for lost profits. Again, the burden Flanagan faces is to prove that the switching charge caused it to lose profits, not that the pallet use charge did not cause its losses. See 46 U.S.C. app. 1710(g) (complainants shall receive "reparations . . . for actual injury . . . caused by a violation of [the Shipping] Act"). As the Commission has previously explained, "an essential element in a complainant's case for reparation is a demonstration of injury and the statutory violation as proximate cause of such injury." Prudential Lines, Inc., 26 F.M.C. at 602. In our view, Flanagan has not shown that the switching fee in particular caused it to lose any business. First, no evidence of stevedoring contracts lost by the amount of the switching charge or less was supplied. Apparently, at one time Flanagan had thought that it would be able to prove "how many unsuccessful bids it lost to LCS in 1995 by 50 cents per ST or less," but was unable to do so because it turned out that it "did not retain many written records of its unsuccessful bids." ALJ Order at 29. Indeed, both respondents concede that a

showing of stevedoring contracts lost by \$.50 per short ton or less could be adequate to sustain Flanagan's claim for lost profits. See LCS Reply at 17; Port Reply at 17 n.68. This, however, is precisely what Flanagan has failed to show.

Next, while it does appear that Flanagan's revenues and market share at the Port declined in 1995, this alone is not proof of the cause of such decline. In our assessment, Flanagan's statistical analysis merely shows that it was able to increase its business with respect to truck cargo in 1996, although it concedes it made little effort to do so in 1995. Its market share analysis has not proved by a preponderance of the evidence that the switching fee was the proximate cause of lost business in 1995 for which reparations would be due. Indeed, much of the argument appears to be directed toward showing that the pallet use charge did not cause Flanagan's alleged lost business, not that the switching charge did. The analysis merely illustrates, at most, that Flanagan suffered a downturn in 1995; it has failed convincingly to link this downturn to the specific Shipping Act violation complained of: the switching fee.

Furthermore, in order for its statistical argument to prevail, Flanagan would have to prove that its methodology is empirically valid. It has not done so. For instance, the Commission has held that it "considers competition as a factor that must be addressed in determining whether a party would be entitled to lost profits." Rose Int'l, Inc. v. Overseas Moving Network Int'l, 29 S.R.R. 119,188 (200 1). However, Flanagan's only explanation for the validity of its year-to-year comparison is that the switching and pallet use fees were "inelastic operating costs" that may be compared from one year to another, presumably with no other adjustments. Exceptions at 11. This does not account for other variables, such as "productivity,

quality of service, overtime cost containment, etc. that affect customers' choices of stevedores." LCS Reply at 17. See also Rose, 29 S.R.R. at 188 (requiring an analysis of "other market factors" in order to prove lost profits). Flanagan also fails to explain adequately why rail and truck cargo are fungible for the purposes of its analysis. And it did not provide an "independent or expert analysis" of its proposed methodology. Rose, 29 S.R.R. at 189. Finally, Flanagan assumes that its earnings from 1994 are a valid starting point to assess the extent of its 1995 losses. The Commission has explained that this sort of analysis "is convincing only to the extent that competitive market forces are static and permit reliable extrapolation from one year to the next, which cannot be assumed as markets can be volatile." Rose, 29 S.R.R. at 189. Indeed, Flanagan's 1993 earnings were very similar to its 1995 earnings, raising the question whether the 1994 figures were anomalous. See ALJ Order at 16. In short, Flanagan's methodology is questionable on various fronts. Cf. Blue Cross and Blue Shield United of Wisconsin v. Marshfield Clinic, 152 F.3d 588, 593 (7th Cir. 1998) ("Statistical studies that fail to correct for salient factors, not attributable to the defendant's misconduct, that may have caused the harm of which the plaintiff is complaining do not provide a rational basis for a judgment."). It was Flanagan's burden to demonstrate the validity of its methodology, and it has failed to do so. The Commission accordingly declines to adopt Flanagan's statistical methodology in support of its claimed lost profits.

c. Allegations of specific lost customers

Flanagan contends that it lost specific customers in 1995 that it had served in 1994, and suggests that the unlawful switching fee was the cause of this lost business. See

Exceptions at 3. LCS and the Port argue that Flanagan has shown no causal link between the switching fee and its lost business, and that in some instances Flanagan lost customers to LCS even where LCS's bid was in fact higher than Flanagan's. See LCS Reply at 11; Port Reply at 11.

We have concluded that Flanagan has not sufficiently demonstrated that it would have served the specific customers in 1995 "but for" the unlawful switching charge. The Commission faced a similar argument in Rose, where the complainant had alleged that it was entitled to lost profits because it had lost some of the customers it had in previous years. The Commission found that "there is no proof in the record that [complainant] would have carried this cargo except for the fact that [complainant] carried cargo for those . . . customers in the years before." Rose, 29 S.R.R. at 189. Flanagan's present argument suffers from the same deficiency, as it presumes without proof that it would have served its 1994 customers in 1995. The ALJ accordingly found that "[t]here is no probative evidence which would support a finding that the former customers of Flanagan in 1994 diverted their business to LCS in 1995 solely because of the rail switching charge." ALJ Order at 29. We have determined to uphold this conclusion.

3. Summary regarding lost profits

In its opening brief before the ALJ, Flanagan asserted that a review of the evidence respecting whether the switching charge caused its lost profits should be understood as "a matter of reasonable probability, to be judged as a practical induction from the facts of the record that exists." Flanagan Opening Brief at 5-6. We have considered the record as a whole and have concluded that Flanagan has not shown that any lost profits

were caused by the Port's and LCS's violations of the Shipping Act. Flanagan's affidavits, its statistical argument, and its allegations of specific lost customers, whether considered together or separately, have not satisfied its burden of proof. See Waterman, 3 F.M.B. at 253 ("In short, the requisite proof of damage is wanting. This failure to establish the fact of damage attributable to the wrong is fatal to claimants' case for reparation."). In addition, Flanagan's exceptions have not convincingly demonstrated that the ALJ's three primary reasons for rejecting its claim were not well-founded: that Flanagan did not adequately address the effects of the pallet use charge on its loss of business, that it failed to produce written records of unsuccessful bids that could be linked to the illegal switching charge, and that it failed to demonstrate any link between the fee and certain customers' decisions to shift their business. Accordingly, Flanagan's request for reparations for lost profits is denied.

C. Oral Argument

We have determined to deny the Port's request for oral argument. No other party to the proceeding has made a similar request, and in our assessment an oral hearing would not supply any additional information or perspective not already contained in the written briefs.

CONCLUSION

The Commission upholds the ALJ's decision and denies Flanagan's request for additional reparations beyond the switching fee refund it has already received. We also deny the Port's request for oral argument.

THEREFORE, IT IS ORDERED, That Flanagan's Exceptions are denied.

IT IS FURTHER ORDERED, That the Port's request for oral argument is denied.

FINALLY, IT IS ORDERED, That this proceeding is discontinued.

By the Commission.


Bryant L. VanBrakle
Secretary